

between your *new job* and your *old house* must be at least 50 miles more than the distance between your *old job* and your *old house*. (I know. It's outrageously complicated.) You must also stay in your new job at least 39 weeks. (If you take this deduction and do not stay in your new job at least 39 weeks, you either have to go back and file an amended return for that year or report the tax savings from that deduction as "other income" the next year.) Special rules apply if you're self-employed. If you recently graduated and didn't have a job at school, your moving expenses may be deductible if your new job is at least 50 miles from your college residence (on or off campus). You'll need to fill out and attach Form 3903 to your tax return to deduct these costs. For a specific explanation of eligibility, go to www.irs.gov and consult *Moving Expenses*, IRS Publication 521.

3. **Figure out if you'd save money by filing jointly or separately.** If you work and your spouse doesn't, it generally pays to file a joint return. Of course, there are few young married couples who fit this description. If you and your spouse both work, you should figure your tax on both a joint return and on separate married returns to see which way saves you money. (Sorry, but it could save you a lot of money.) Filing separate married returns may make sense if you have many deductible expenses that are subject to an "adjusted gross income threshold." Say you and your spouse each earns about the same amount of money but you have exceptionally high medical bills. If you file a joint return, your medical bills would have to exceed 7.5% of your *combined* adjusted gross income in order to be deductible. If you file separately, you can deduct medical costs that exceed 7.5% of your *own* adjusted gross income (about half the combined income, so you get to deduct more). It may also make sense for you to file your state return separately, so try filling it out both ways. And make sure to do this carefully. You may not be able to qualify for some tax breaks if you file separately.